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Publication

Operational Guidelines: Back to Work Enterprise Allowance

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1. GENERAL INFORMATION
2. Purpose of Back to Work Enterprise Allowance Scheme
3. Objective

Part of

Services

3. Objective
4. Legislative Basis
5. Administration
6. Setting up a New Business
7. Business Structure
8. Employment
9. Tax & PRSI
10. Voluntary Contributions
11. Education and Training
12. Absence from the State
13. Self-Employment outside of the State
14. Subcontractors
15. Retained Fire Fighter
16. Change in Circumstances
17. Payments and Secondary Benefits
18. Control Procedures and Recovery of overpayments
19. Freedom of Information (FOI) and General Data Protection Regulation (GDPR)
20. European Social Fund (ESF+ 2021-2027) Requirements
21. Queries

Back to Work Enterprise Allowance

Policies
Social Protection

22. ELIGIBILITY
23. Qualifying Payments and Eligibility Criteria
24. Transfer of Allowance to Qualifying Adults
25. Mitigating Circumstances
26. Resumption of a BTWEA claim
27. Claiming BTWEA again
28. APPLICATION PROCESS
29. Examination of suitability for BTWEA
30. Referral to the services of Local Development Company
31. Role of the LDC Enterprise Officer on referral
32. Examination of Business Proposal by Enterprise Officer
33. The business plan should include the following as a minimum:
34. LDC recommendation to Employment Personal Adviser
35. BTWEA Claims Scanning Steps for Employment Personal Advisers
36. Employment Personal Adviser's Non Recommendation
37. Requests for Review of Entitlement

38. Deciding Officer (DO)
39. Assignment of Applications
40. 3 AND 9 MONTH REVIEWS
41. 3 and 9 month Reviews by Employment Personal Adviser
42. Business deemed not sustainable following 3 or 9 month review
43. APPENDIX 1
44. APPENDIX 2
45. Appendix 3

GENERAL INFORMATION

Purpose of Back to Work Enterprise Allowance Scheme

The Back to Work Enterprise Allowance Scheme (BTWEA) is a non-statutory scheme designed to provide support to people who are in receipt of a qualifying social welfare payment who want to develop a business while allowing them to retain a reducing proportion of their qualifying social welfare payment, plus secondary benefits (please refer to section 17) in certain circumstances, over two years; 100% in year 1

and 75% in year 2 i.e. a total of 624 paid days.

Objective

The objective is to support certain DSP Customers to commence self-employment through setting up a new enterprise.

Legislative Basis

BTWEA is a non-statutory scheme approved by government. Government Decision **S.27511b** of 21 July 1993 refers.

Administration

Scheme policy is administered by:

Working Age Schemes Policy, Back to Work Enterprise Allowance

Address: Working Age Schemes Policy, Back to Work Enterprise Allowance, Department of Social Protection, Shannon Lodge, Carrick-on-Shannon, Co. Leitrim, N41 KD81.

Website: www.gov.ie/btwea

Email: BacktoworkAllce@welfare.ie

Telephone: 0818 927999;
071 9672616

Setting up a New Business

BTWEA is a support to qualifying Customers wishing to take that first step into self-employment. It assists in alleviating the risks involved with a new venture and provides an element of financial security along with business mentoring and supports.

1. What is a New Business?

- The BTWEA should only be used to offer support to the setting up of a **new enterprise that is currently not in operation** but will be tradable and tangible.
- Where a business is similar to a previous unsuccessful business, the onus is on the Customer to establish why this proposal is deemed a new business and not a recommencement of a prior venture.
- In some cases it may be appropriate for a Customer to initially conduct market research for up to 3 months **prior to the commencement of BTWEA**. This period should coincide with the business planning and preparatory work required in approving the new enterprise for BTWEA. Market research should generally not extend beyond 3

months.

2. Businesses not considered eligible for BTWEA

- Where a business proposal does not involve the setting up of a new enterprise, it will not be eligible for BTWEA support.
- Businesses setting up under an already market-established brand (franchises or self-employed sales) or a business that has been operational prior to the application for BTWEA.
- Business taken over by the Customer or trading under the Customer's management, e.g. pub, will not be considered.
- Where a business is bought, inherited or leased as a going concern.

BTWEA provides new enterprises with guaranteed income and therefore mitigates risk. This is not necessary where the venture is not a new enterprise as such a business can base its income potential from past experiences, thus mitigating the financial risks associated with commencing a new enterprise. Where BTWEA was approved and in payment for one business, the business ceases. The Customer cannot resume or continue their BTWEA payment for a different business until five years has elapsed.

Business Structure

How a Customer decides to structure their business is a decision for him/her to make.

BTWEA supports a sole trader, a partnership or a limited company.

From 1 July 2013 proprietary directors must own or control 50% or more of the shareholding of a company, either directly or indirectly. They are classified as self-employed and liable to pay PRSI at Class S.

The classification of proprietary directors who own or control less than 50% of the shareholding of the company will continue to be determined on a case by case basis, by this department's Scope Section.

Scope is an advisory section which deals with queries relating to issues of directors, PRSI and insurability.

If any additional queries arise on the particular issue of directors, PRSI and insurability, these should be addressed to:

Scope Section

Address: Scope Section, Department of Social Protection, Áras Mhic Dhiarmada, Store Street, Dublin 1.

Website: www.gov.ie/scope

Email: scope@welfare.ie

Telephone: 01 6732585

Employment

Customers are **not** allowed to enter into paid employment as an employee, either in a full-time or part-time capacity while in receipt of BTWEA.

This will ensure that Customers are devoting 100% of their time to the business venture to maximise the chances of success.

Part-time Lecturer/teacher/trainer

One exception to this is where a Customer may be a contracted or a guest lecturer/teacher/trainer for a School/College/University or Department of Education. This applies to someone setting up their business in training where such an arrangement represents one element of a wider client base. For example, a customer who lectures once a month for the 2 year period may still only be for 1-2 hours in the evening and this would not impinge on the spirit of the BTWEA scheme.

The Case Officer should view this type of claim on a case by case basis before a recommendation is made.

Jobseeker's Allowance (JA) Self-Employed (SEMP) customers can apply for BTWEA but must give up their current business and deregister with Revenue to qualify and devote 100% of their time to the business e.g. part time musician.

A proposed business for BTWEA **cannot** be the same or similar to the JA (SEMP) business.

Tax & PRSI

The Back to Work Enterprise Allowance payment is not subject to tax or PRSI. However, the **income from self-employment** may be subject to Tax or PRSI.

Voluntary Contributions

Customers in self-employment must pay PRSI at S Class rate and **credits are not awarded** during the period of the Back to Work Enterprise Allowance.

Note: Credit only payments are not eligible for BTWEAas there is no underlying payment to set the rate of the BTWEA scheme.

A Customer may wish to pay voluntary contributions during this period and all queries should be addressed to:

Voluntary Contributions Section

Address: Voluntary Contribution Statement, Department of Social Protection, Cork Road, Waterford, Co. Waterford, X91 EH04.

Website: https://www.gov.ie/en/publication/voluntarcontributions/

Email: volcons@welfare.ie

Telephone: 0818 690 690; 01 4715898

Education and Training

Customers may avail of education/training options which are short and part-time and beneficial to the business needs. However, this should not impact with the Customer's running of the business. This should be discussed with the Customer prior to commencement of BTWEA.

There are no further DSP support payments available other than what is covered under the Enterprise Support Grant (ESG) of up €2,500 for each recipient. For more information on the ESG scheme.

Absence from the State

All new enterprises approved for BTWEA must operate within the State.

If it is a genuine requirement of the business to spend periods of time outside of the State, this should be highlighted in the business plan at the time of application and supporting evidence supplied. The Customer must notify the Employment Personal Adviser in advance of all business trips. A reasonable business trip shall be classified as being in the region of 3 to 4 days. Unnotified periods spent outside of the State may result in the claim being suspended and depending on the circumstances closed and overpayments may be raised.

Self-Employment outside of the State

Self-employment outside of the State precludes a person qualifying for BTWEA.

A business that is being operated on-line must be based in Ireland and registered with Revenue.

Subcontractors

When reviewing a new enterprise the tradability and viability of the enterprise should be examined. Ideally a

Customer should have a **sufficiently large and diverse Customer base**. A subcontractor in the construction sector is likely to have only one Customer i.e. the principal contractor to whom they are contracted to. This one-to-one business relationship will usually last for the duration of a particular contract. In such circumstances a Customer should be advised that the BTWEA scheme is not available to them. The Customer can exit the live register and take up their new employment opportunity or in some instances the Customer may have an entitlement to Jobseekers payment (Self-employed category).

The Customer base of a new enterprise may be difficult to establish on awarding a new claim for BTWEA. However if there are concerns following the business planning approval and awarding of the claim they should be investigated further at the Employment Personal Adviser's 3 month review meeting. If a Customer cannot display a wide and diverse Customer base at this stage, or subcontracting is the sole business then a closure of BTWEA should be considered.

Employment Personal Adviser's may wish to refer to the link here, drawn up by the Revenue Commissioners which can assist in determining whether someone should be classed as an employee or self- employed.

Find out about the Code of Practice and Compliance.

Retained Fire Fighter

A retained fire fighter is eligible to participate in the BTWEA scheme, while continuing as a retained firefighter, provided they are awarded the Jobseeker's Allowance and fulfil the scheme requirements.

"Retained firefighter" is a person employed as a firefighter by a fire authority, e.g. County Council/Corporation, on a part-time basis and who is paid a retainer plus a fee for attendance at training and callouts.

It is not necessary to have 100% dedication to the business in this instance.

Change in Circumstances

BTWEA is not a means-tested scheme and means from any other source are not assessable as long as they are received on or after the awarding of the BTWEA claim. A Customer should notify the department of a **change of address**. The request for the change in circumstance should be transferred to the relevant Intreo Centre with the exception of LO681 cases which is dealt with in Working Age Schemes Policy, Shannon Lodge, Carrick-on-Shannon.

Applications can be made for an increase in respect of a Qualified Adult and/or additional Child Dependents where applicable. **In the case of claims based on a previous entitlement to One-Parent Family Payment or Carer's Allowance** a Qualified Adult increase is not payable since it would not have been payable on the previous claim.

Where two customers are claiming Jobseekers Allowance, a limitation applies, as they are subject to a total household family income limit. If one partner applies for BTWEA the limitation is the amount payable on the BTWEA less applicable means. However the other partner may request a review of their JA rate and have their payment reassessed.

An **upwards only rate change** may be applied to BTWEA where a spouse/partner of the BTWEA recipient has a **reduction** in his/her income from earnings. This means assessment will be conducted in line with the primary entitlement. For BTWEA claims dealt by LO681 the review must be completed by the primary payment section and will then be implemented by LO681 as required. In all other instances the review is completed and implement by the local Intreo Centre.

If a Qualified Adult takes up insurable employment and/or has an increase in their earnings, this will continue to have no effect on the BTWEA claim.

Where the QA applies for Jobseekers or other scheme payment in their own right, the rate of payment should be adjusted on the BTWEA claim i.e. the QA portion removed.

Payments and Secondary Benefits

Payments

BTWEA is payable at 100% of the primary payment for year 1 and reducing to 75% for year 2 subject to a maximum of 624 paid days i.e. 2 years.

Customers participating on the scheme are paid weekly via **Electronic Fund Transfer (EFT) or Electronic Information Transfer (EIT)**.

Separate payments are only payable when a Customer opts for an EFT payment. This is in line with the rules of the primary payment.

Customers are entitled to the appropriate Budget increases.

BTWEA cannot be claimed concurrently with another primary DSP payment. The only exception is for a Customer in receipt of BTWEA who subsequently becomes entitled to the Widow/Widowers or Survivor

Contributory pension. The Back to Work payment continues at the single rate. No payment for a qualified child can be included on the BTWEA payment. A person in receipt of BTWEA cannot claim Half Rate Carer's Allowance.

Payment after Death

Back to Work Enterprise Allowance is payable, in line with the primary payment, to a qualified adult for 6 weeks after the death of the Customer.

It is also payable for 6 weeks after the death of a qualified adult or qualified child.

Carers Allowance and One Parent Family Payment are the exception as IQA is not payable on these schemes. Therefore, no 6 week payment after death is payable.

Secondary Benefits

Customers in the scheme may retain any secondary benefits they were in receipt of prior to participation on BTWEA such as Fuel Allowance or Medical Card provided they continue to satisfy the appropriate means test.

Living Alone Allowance (LAA) is included. This is only relevant where the primary payment is Disability

Allowance (DA) or Invalidity Payment (INVP).

Control Procedures and Recovery of overpayments

Failure by Customers to comply with the rules and conditions of the scheme will result in closure of the BTWEA payment and, where identified, the raising of an overpayment or consideration of a prosecution where fraudulent conduct is suspected.

Approaching the end of year 1 of the BTWEA claim a control letter BTW17A is automatically issued to the Customer informing them of the reduction in rate to 75% for the second year of the scheme. The Customer is also required to sign the declaration, on the BTW17A, confirming their continuing entitlement to the claim where failure to return the completed form will result in a suspension of the payment.

The onus is on the Customer to advise the department of **ANY** change in their circumstances at all times.

Freedom of Information (FOI) and General Data Protection Regulation (GDPR)

Staff are required to ensure that all information and personal data received in respect of BTWEA comply with the department's Freedom of Information and General Data Protection policies.

Formal arrangements are in place for the exchange of information with other government departments /agencies in accordance with the law.

Any exchange of information should be compliant with Section 261 of the Social Welfare Consolidation Act 2005.

European Social Fund (ESF+ 2021-2027) Requirements

The ESF+ is the EU's instrument for investing in people and is a co-financed programme, where EU funding must be matched by a set percentage of national funding. The European Social Fund provides €10 billion annually across the European Union where it aims to improve employment and education opportunities, to enhance social inclusion and to tackle poverty.

The BTWEA scheme is one of the ESF+ operational programmes that will be supported under this EU Funding for participants who are under the age of 30 when they commence the scheme.

All forms relating to those under 30 years on BTWEA should display the ESF+ logos along with a statement informing Customers of ESF+ involvement.

All supporting documentation for eligible expenditure submitted for ESF+ co-financing must be available after the final accounts is submitted to the Commission. The period may be extended by legal proceedings or a justified request by the Commission. This means that the documentation above must be available indefinitely for inspection.

As part of this co-funded EU programme it is essential that the 3 and 9 month reviews are conducted so that these claims may be included under the supports of EU funding. (Refer to section 4 below)

Queries

All Customer queries should initially be addressed at the local Intreo Centre and those that cannot be resolved may be submitted by email to BacktoworkAllce@welfare.ie

ELIGIBILITY

The BTWEA Customer must satisfy the following conditions immediately prior to commencing self-

employment:

- Applicant is in receipt of a qualifying payment as outlined in section 23 (Qualifying Payments and Eligibility Criteria) below.
- Under the age of 66 - the BTWEA is only payable up to a person's 66th birthday
- Setting up a new enterprise (refer to section 6 Setting up a New Business)
- The enterprise must be recommended, in advance, by **both** the Enterprise Officer (EO) in the Local Development Company (LDC) and the DSP Employment Personal Adviser before a final decision is made by the Deciding Officer (DO) in either the Local Intreo Centre or Shannon Lodge, Carrick On Shannon (LO681 cases only).
- It should be noted that, not all businesses require qualifications as experience on the job or apprenticeship may be sufficient

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Qualifying Payments and Eligibility Criteria

Eligible Primary Payments

9 months (234 paid days) **continuously** in receipt of any one of the following eligible payments immediately prior to taking up BTWEA with the exception of Illness Benefit as noted in the table below.

ELIGIBLE PAYMENTS	POINTS TO NOTE
• Jobseeker's Allowance (JA)	
• Jobseeker's Benefit (JB)	Not entitled to BTWEA. However, may be entitled to STEA.
• Jobseeker's Pay-Related Benefit (JPRB)	(Not entitled to BTWEA. However, may be entitled to STEA.
• Casuals – JA and JB	12 months (312 days) in receipt of casual JA or JB immediately prior to their BTWEA… View more
• One-Parent Family Payment (OFP)	
• Jobseekers Transitional Payment (JST)	
• Blind Pension (BPP)	
• Deserted Wife's Benefit (DWB)	Cannot revert to this payment once BTWEA is awarded – saver cases only

	scheme ended
• Disability Allowance (DA)	
• Widow's, Widower's or Surviving Civil Partner's Non-Contributory… View more	Widows Contributory payment is not an eligible payment, however, it can b… View more
• Carer's Allowance (CA)	• Must cease caring responsibilities. • Carer's Allowance may be transferre… View more
• Invalidity Pension (InvP)	
• Farm Assist (FA)	Provided that the self-employment is not in relation to the holding and not the continuation … View more
• Illness Benefit (IB)	Where IB is the primary payment the Customer is required to have 3 out of the last 5… View more

• Combination of any other qualifying social welfare payments listed above… View more	
• Qualified Adults (QA)	Periods spent as Qualified Adult on JA/JB/any qualifying payment or a **recent** BTW… View more

Where there is a break in an eligibility payment due to Maternity, Paternity Benefit or Parents Leave the Customer can be deemed eligible once this benefit was preceded and has been followed by a primary eligible payment and meets the required accumulated days as set out above.

*Casuals: An Employment Personal Adviser at the initial assessment meeting must discuss with the casual Customer the number of days they have worked in the previous 12 months (312 paid days). If the casual Customer **has worked in excess of or is due to exceed 30 days** in Insurable…

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Eligible linking Payments

Periods spent on the following payments count towards the continuous qualifying period. The customer must have established an entitlement to a qualifying primary payment when applying for BTWEA.

- Daily Expenses Allowance (do not have to have preceding qualifying payment)
- Supplementary Welfare Allowance (SWA) (do not have to have preceding qualifying payment)

Periods spent on the following, count towards the continuous qualifying period, provided

1. They are **preceded** by a qualifying payment and;

2. The Customer has **re-established** an entitlement to a qualifying primary payment as the BTWEA is based on this rate.

- BTEA / VTOS Springboard+, ICT
- ETBs Courses
- Rural Social Scheme
- Community Employment

- TÚS

- Time spent in prison (must be in the State)

- Work Placement Experience Programme

- Customers who are currently unemployed in Ireland (for at least 13 weeks) and on a qualifying payment can have recent periods of unemployment in other EU countries accepted.Customers should be asked to request a U1 form from the relevant social security authority that will give the…

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Transfer of Allowance to Qualifying Adults

- Where a Customer is partaking in the BTWEA scheme and they are no longer in a position to continue with the running of the business due to **mitigating circumstances**, the qualified adult may avail of the entitlement for the remainder of the scheme, provided they continue to run the business that was originally approved. A claim cannot be transferred for any other reason. In this instance the Qualified Adult should contact their Employment Personal Adviser in the local Intreo Centre to have the claim updated.
- The Employment Personal Adviser should determine if the Qualified Adult has the knowledge and business acumen to take over the running of the

business.

- When the Qualified Adult requests a transfer of the BTWEA, a separate claim, including the Qualified Adult rate, should be registered on ISTS. The Cumulative Total (CT) days should be carried forward from the original BTWEA claim and entered on the new BTWEA claim i.e. only the balance of CT days allowable. There should be no loss suffered by the couple when entering this arrangement. If the original Customer has an entitlement to a DSP payment, i.e. Disability Allowance (DA) or in the event of the death of the original Customer the BTWEA claim must be closed.
- While the Qualified Adult is continuing the original BTWEA claim, the original Customer is not permitted to apply or receive any other DSP payment. Two Customers cannot claim off one Social Welfare record.

Note: The 3 and 9 month reviews should be conducted as normal.

Mitigating Circumstances

Mitigating circumstances can include but are not limited to a long-term illness or injury requiring prolonged absence from self-employment. The serious illness of an immediate family member requiring the Customer undertaking a caring responsibility. Other mitigating circumstances that may arise can be

considered by the officer having regards to all the relevant circumstances of the case.

Resumption of a BTWEA claim

Customers are allowed to resume the BTWEA **once**, where the BTWEA ceased due to **mitigating circumstances

A resumption must always be in respect of the enterprise originally approved for BTWEA.

Where the claim was originally transferred to the QA, the QA may also avail of the resumption where applicable.

Customers always resume BTWEA at the original rate unless there is a change in circumstances. For example, a change in family composition. Note: the rate is inclusive of budgetary changes.

Claiming BTWEA again

A Customer who has previously participated in the BTWEA scheme may apply again so long as:

- In the case of a **new enterprise** five years must have elapsed since their previous BTWEA/STEA claim

closed.

- In the case of the **same enterprise**, the business must have **ceased trading** for 5 years.

APPLICATION PROCESS

STEP 1

Examination of suitability for BTWEA

- A meeting must be conducted on a one to one basis with the Customer and the Employment Personal Adviser. The 30 day rule (i.e. not more than 30 days in insurable employment) should be explained to Customers at this stage.
- Prior to referring a new applicant to a Local Development Company an Employment Personal Adviser must first establish if the Customer meets the eligibility criteria for the scheme.
- Having established their eligibility, an Employment Personal Adviser must complete an assessment of suitability form which must be signed by both the Employment Personal Adviser and the Customer. If a participant is not eligible they should not be referred to LDC and a letter of refusal issued to the Customer and a copy to the LDC where appropriate.
- Note: Re Customers aged under 30 at time of application. As part of compliance under EU funding

the Employment Personal Adviser should inform the Customer that where their BTWEA application is successful they will periodically receive 3 questionnaires (via email or hard-copy) to complete from the Department (refer to Appendix 2). The Customer should also be advised that some of these questionnaires will issue after their claim is complete, but still require a response.

1. An Employment Personal Adviser should establish that the proposed business is a new enterprise (section 6, definition of new business) and examine the proposal under the following headings:

- Sustainability
- Displacement
- Seasonality
- Market Saturation/Competition

1. Sustainability

The Employment Personal Adviser should allow the application to progress with the LDC but document any concerns on financial sustainability for an LDC officer to examine and address in the final business plan.

2. Displacement

BTWEA should not be considered where the supported new enterprise will likely cause displacement i.e.

provide an unfair trading advantage over local competitors as a result of DSP support. If displacement is a concern this should be noted by the Employment Personal Adviser on the assessment of suitability form and on referral should be addressed by the Enterprise Officer in the LDC.

3. Market Saturation/Competition

Another consideration is where an Employment Personal Adviser does not see the sustainability of a proposed new enterprise due to an existing high level of operation within that sector locally. However, an Employment Personal Adviser may rely on the expertise of the LDC's recommendation when considering the local market (city versus rural) relevant to the new enterprise proposal.

4. Seasonality

Seasonal, temporary or part time self-employment is not acceptable for the BTWEA. All business plans for a new enterprise should indicate year round income potential and operations.

STEP 2

Referral to the services of Local Development Company

Following the initial assessment meeting and agreement that the Customer is eligible for BTWEA and the business proposal is suitable the Customer should be requested to meet with the LDC as soon as possible to develop a business plan.

The initial assessment allows the Employment Personal Adviser to highlight issues that may cause concern on the decision to recommend for BTWEA on completion of a business plan. The Employment Personal Adviser should not generally prevent an applicant from working with the LDC at this stage. The issue raised should be addressed by the applicant in their business plan.

Where a Customer contacts the LDC prior to notifying DSP, they should be referred by the LDC to the Employment Personal Adviser for an initial assessment of suitability/eligibility meeting prior to progressing with their BTWEA application process.

Role of the LDC Enterprise Officer on referral

Role of a Local Development Company (LDC)

LDCs provide a range of complementary supports to support Customers who want to start up or grow a business. The supports include the provision of:

- an initial "First Stop Shop" service where individuals can receive advice on the steps involved in setting up a business,
- grants for feasibility studies,
- financial support for the establishment of new businesses or expansion of existing ones and
- A range of soft supports such as training and mentoring throughout the period of the BTWEA scheme.

In addition, LDCs play a key role in supporting local communities and entrepreneurs to develop new business ideas and to enhance existing enterprises.

Typical enterprise supports that LDCs provide, include enterprise training courses in areas such as starting your own business, business planning, bookkeeping, sales and marketing, costing and pricing, health and safety, online strategy, social media and one to one mentoring and support from Enterprise Officers

Examination of Business Proposal by Enterprise Officer

At this stage the Enterprise Officer should:

- Assist the Customer in preparing a fully completed business plan which should address any areas of concern as raised by the Employment Personal

Adviser.

- The Enterprise Officer should discuss how the Customer wishes to structure their business i.e. whether they wish to trade as a Sole Trader, a Partnership or a Limited Company. (Refer to section 7). If the Customer decides to incorporate a Limited Company they will be required to provide documentary evidence from the Company Registration Office (CRO) to include confirmation of their shareholding in the Company.
- Assist in the completion of the BTW2 application form.
- Ensure that the Customer has completed a Start your Own Business Course and advise the Customer of his obligation to register with the Revenue Commissioners. This should be completed at the outset or at the latest by the 3 month mentoring and monitoring review. Evidence of this registration must be provided to the Employment Personal Adviser at the final recommendation stage or similarly at the 3 month review stage.

The business plan should include the following as a minimum:

- A full description of the business idea including how and where trading is to take place. This will help give an indication of income and overheads.
- Business Financial Planning

Business cash-flow

The participant will need to demonstrate that their Business Plan is viable and that the business has sustainability potential.

Income from BTWEA should not be included as part of the business cash flow or income projections.

Consider issues of local displacement and market saturation, and address any concerns highlighted by the Employment Personal Adviser.

Recommendation by the Enterprise Officer

- The Enterprise Officer should make a recommendation on the business suitability for the BTWEA Scheme. See end of form BTW2 application form.
- Where recommended, the Enterprise Officer **should sign the assessment of suitability form** and return it to the Employment Personal Adviser accompanied by forms listed below

o Completed Application form (BTW2),

o 1 year financial projection document

o A fully completed business plan which should include

information to demonstrate the viability of the business proposed and confirmation of business structure

o Confirmation that the Customer has completed a Start Your Own Business Course (SYOB)

- In the event that the LDC does not recommend the business proposal this should be communicated by the LDC to the Employment Personal Adviser.

LDC recommendation to Employment Personal Adviser

An Employment Personal Adviser must review all documents received by the Enterprise Officer. Evidence of registration with the Revenue Commissioners. (Revenue on-line service (ROS) is acceptable).

This is a necessary requirement; however, this does not have to be provided until the 3 month review as initial registration results in an automatic issue of a Commencement of Employment (COE) form which can cause issues for Intreo Centres.

Where concerns were raised at the initial assessment stage, the Employment Personal Adviser must be

satisfied that these concerns were fully addressed by the LDC.

The Employment Personal Adviser **must** then make a **final signed recommendation** on the BTW2 application form and forward to the Deciding Officer. All non Intreo claims should be forwarded to Working Age Schemes Policy, Carrick-on-Shannon, Co Leitrim.

BTWEA Claims Scanning Steps for Employment Personal Advisers

All documents should be scanned to Activation Case Management, Employment Support Services, Action, and Document Creation.

Documents should be scanned separately and dated accordingly.

Employment Personal Adviser's Non Recommendation

There may be **two** stages where an Employment Personal Adviser may not recommend a Customer for BTWEA.

- Employment Personal Adviser initial assessment

stage (on the basis of scheme eligibility);
- Employment Personal Adviser non recommendation after referral to LDC.

At this point the Employment Personal Adviser should scan all documents as at section 36 above and notify the Deciding Officer.

The Deciding Officer will then make the final decision and issue correspondence accordingly. The Deciding Officer should register the BTWEA claim on ISTS at this point and scan all documents to the BTWEA claim ONLY on BOMi.

Requests for Review of Entitlement

A Customer who is not satisfied with a recommendation of a Employment Personal Adviser may request a review in writing within 21 days.

The request must clearly state the basis of the review, enclosing any new evidence or any other information that may support their case.

The Back to Work Enterprise Allowance scheme is a non-statutory scheme and therefore not appealable to the Social Welfare Appeals Office.

1. Non Recommendation at Initial Assessment Stage

A re-examination and review of the initial assessment must be conducted by another experienced Employment Personal Adviser/Employment Services Manager, who was not involved in making the initial recommendation.

2. Non Recommendation after referral to LDC

The same guidelines apply as at “Non Recommendation at Initial Assessment Stage” above. However, in the case of a non-recommendation after referral to LDC a communication should also issue to the LDC Enterprise Officer.

The outcome of the re-examination and review should be clearly documented and communicated in writing to the Customer by the Deciding Officer and scanned to the BTWEA claim as previously indicated at section 37.

A participant should commence on BTWEA following the approval of their application. It may be necessary in certain circumstances to delay the commencement of the start date for BTWEA (i.e. until trading begins). This may occur where the new enterprise is awaiting confirmation of compliance with statutory requirements or availability of the identified premises for trading. The commencement date for BTWEA should be within 12 weeks of the approval date, unless

the Employment Personal Adviser agrees that a longer period is required.

Where the Customer does not commence trading within 12 weeks of the initial decision the Deciding Officer may review the initial decision and if appropriate re-affirm the decision to award BTWEA.

Letters/Checklists available on Stór for department staff.

STEP 7

Deciding Officer (DO)

The Deciding Officer (DO) has sole responsibility for making the decision to approve or refuse a BTWEA claim. The DO should take account of the recommendation of the Employment Personal Adviser.

A Deciding Officer's decision should be communicated to the Customer and Employment Personal Adviser.

Where the DO does not accept the recommendation, they should discuss and clarify any issues with the Employment Personal Adviser before making the final decision.

In the event of a refusal the decision must be clearly outlined.

The Deciding Officer should then scan all documents, individually to the BTWEA claim on BOMi.

Tasks should be assigned to the Employment Personal Adviser for 3 and 9 month mentoring and monitoring reviews and the decision recorded on BOMi by the Deciding Officer at this stage.

Deciding Officer Refusal

A Customer who is not satisfied with a decision of a Deciding Officer may request in writing to have this decision reviewed.

Process is similar to steps above; however, review is carried out by another Deciding Officer.

The outcome of the review of this decision should be clearly documented and communicated in writing to the Customer, Employment Personal Adviser and LDC Officer.

Employment Personal Adviser divisions/Intreo Centres should put in place standard arrangements for dealing with re-examination and reviews of BTWEA recommendations and decisions.

Assignment of Applications

Applications are dealt with as follows:

Intreo Customers

Applications from those receiving the following payments are dealt with by the department's Intreo Centre/Branch Office:

- Jobseeker's Allowance ,
- Jobseekers Transitional Payment,
- Farm/Fish Assist,
- One-Parent Family Payment

Customers of other schemes (LO681 cases)

Decisions for the following primary payments are dealt with by Working Age Schemes Policy:

- Disability Allowance
- Invalidity Payment
- Carers Allowance (Not Benefit)
- Illness Benefit
- Disability Benefit
- Blind Persons Pension
- Incapacity Benefit and
- Widows **Non**-Contributory Pension

Working Age Schemes Policy, Back to Work Enterprise Allowance

Address: Working Age Schemes Policy, Back to Work Enterprise Allowance, Department of Social Protection, Shannon Lodge, Carrick-on-Shannon, Co. Leitrim, N41 KD81.

Website: www.gov.ie/btwea

Email: BacktoworkAllce@welfare.ie

Telephone: 0818 927999; 071 9672616

3 AND 9 MONTH REVIEWS

3 and 9 month Reviews by Employment Personal Adviser

There is a requirement for the Employment Personal Adviser to meet with the Customer for both a 3 month **and** 9 month follow-up engagement to ensure that the business is operating and trading in accordance with the business plan and has remained in line with the scheme guidelines.

Where additional training or mentoring is requested by the Customer or identified by the Case Officer, this

should be arranged and supported through the Enterprise Support Grant or from the Local Development Company.

Completion of the 3 and 9 month reviews is monitored as part of the compliance reporting for EU funding. Officers should ensure that the 3 and 9 month reviews are completed as close as possible to the due dates. Where there is a delay in completing the 9 month review, it must be completed during the first 12 months of the claim. (see Appendix 2).

Required Documents

As part of the 3 and 9 month review meetings the Customer will be required to provide the following documents:

• Evidence of registration with the Revenue Commissioners must be available at this stage if not previously supplied at application stage. This may include details from Revenue on-line service (ROS) (Revenue on-line services is also acceptable)

Evidence of trading e.g. invoices, order book, bank statements, etc....

• List of business Customers

- Employee list (if applicable)

3 and 9 month mentoring and monitoring review forms must be completed and signed off by both the Employment Personal Adviser and the Customer.

The 3 and 9 month mentoring and monitoring form must be completed, in full, and scanned along with any accompanying documents to the BTWEA claim on BOMi. Note: it is essential that all documents and notes are scanned as part of the compliance regulations under the ESF+ programme 2021-2027 under EU funding.

Each document must be scanned separately. The Employment Personal Adviser must check their outstanding tasks and on completion of review, task should be completed on the BOMi system. If applicable a case note should be added.

Business deemed not sustainable following 3 or 9 month review

Where the business is deemed not suitable following either the 3 or 9 month mentoring and monitoring review, the review documents should be completed by the Employment Personal Adviser and the Customer.

The Employment Personal Adviser should then issue a recommendation to the Deciding Officer to close the BTWEA claim.

If the Deciding Officer agrees with the Case Officer's recommendation they should close the BTWEA claim.

The Deciding Officer should inform the Customer and the Employment Personal Adviser when the claim is closed.

A Customer who is not satisfied with the decision to close the BTWEA claim may request, in writing, to have this decision reviewed. Refer to section 38.

APPENDIX 1

Budget Changes since 1997
1997: 1,000 places were provided on the scheme for Customers with disabilities (Disability Allowance and Blind Persons Pension).
1999: The Scheme was extended to those in receipt of Carers Allowance.
2000: The Scheme was extended to those in receipt of Invalidity Pension, Incapacity Supplement and Pre Retirement Allowance.
2001: From 1 July 2001 the scheme was extended, on a pilot

2001: From 1 July 2001 the scheme was extended, on a pilot basis (200 places) to those in receipt of Illness Benefit for 5 years or more. From April 2002 the qualifying period was reduced to 3 years. Provision was also made in 2001 to introduce a pilot scheme in 3 Health Board areas to enable…

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2002: From April 2002 the qualifying period was reduced to 3 years. Extended to Customers in receipt of Widow's, Widower's or Surviving Civil Partner's Non Contributory Pension, Deserted Wife's Benefit/Allowance and Prisoners Wife's Allowance.

2003: Qualifying period for Jobseeker's Benefit/Allowance recipients was increased from 12 months to 5 years.

2004: From 1 March 2004, the qualifying period for Jobseeker's Benefit/Allowance recipients was reduced to 3 years. This only applies to Customers taking up self-employment. The qualifying period for JB/JA Customers taking up work as an employee remains at 5 years.

2006: From 1 March 2006, the qualifying period for Jobseeker's Benefit/Allowance recipients was reduced from 3 years to 2 years. This also applies to Customers over 50 years of age in receipt of Jobseeker's Benefit/Allowance. Other qualifying payments are not affected. Periods spent i…

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2007: From 1 March 2007, entitlement extended to those who are in receipt of Jobseeker's Allowance for 2 years or more at a weekly rate of less than €50.79 (Single) or €78.72 (Couple).

2009: From 1 May 2009, the qualifying period for

Jobseeker's Benefit/Allowance recipients was reduced from 2 years to 1 year provided there is an underlying entitlement to JA. The duration payable for Back to Work Enterprise Allowance (BTWEA) was reduced from 4 years to 2 years....

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2017: From 1 January 2017, jobseekers who take up self-employment are able to access the BTWEA after 9 months, down from 12 months currently. This will enable access to the supports of the BTWEA to those wishing to commence self-employment at an earlier stage of their unemployment....

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2020: From July 2020, the 9 month qualifying period is waived for recipients of the Covid-19 Pandemic Unemployment Payment (PUP) who apply and qualify for a Jobseekers payment. The BTWEA is awarded at the jobseekers rate applicable to the applicant.

2025: From 31 March, the new DSP scheme - Jobseeker's Pay-Related Benefit (JPRB) introduced. Not eligible for BTWEA.

APPENDIX 2

The European Social Fund and Back to Work Enterprise Allowance

Policy Context

The European Social Fund Plus (ESF+) is the European Union (EU)'s main instrument for investing in people and supporting the implementation of the European Pillar of Social Rights.

The Employment, Inclusion, Skills and Training Programme (hereafter known as EIST 2021-2027), is Ireland's ESF+ programme for the 2021 to 2027 period. It is the successor to the previous ESF PEIL Programme 2014-2020. Several previous funds (European Social Fund-ESF, Fund for European Aid for Most Deprived-FEAD, Youth Employment Initiative-YEI, and Employment and Social Innovation Programme-EASI) have merged to form ESF+. The aim of the ESF+ is to achieve high employment levels, fair social protection, and a skilled and resilient workforce for the future world of work, in line with the principles set out in the European Pillar of Social Rights.

The Regulations underpinning the EU Cohesion policy for 2021-2027 are Regulation 2021/1060, which is also known as the Common Provisions Regulation (CPR), and Regulation 2021/1057 which is the "fund specific" regulation for the ESF+.

ESF+ EIST contains five Priorities which were developed in line with the European Pillar of Social Rights, EU and national policy, and a stakeholder consultation process. BWTEA is one of 4 DSP Activities under Priority 1: Employment.

The EIST Programme involves a total investment of over €1.08 billion, comprising of €508 million from the EU and €573 million from the Government of Ireland. The programme has two different rates of co-financing for Ireland. As 'more developed' regions, the Southern and the Eastern & Midlands regions will receive 40% in EU co-financing, while as a 'transition' region the North-Western region will receive 60% in EU co-financing.

Proposed Expenditure and Refunds

The department will reclaim these funds from the European Commission through the Department of Further and Higher Education, Research and Science (DFHERIS as the designated Management Authority (MA) as part of the 2021-2027 ESF+ Operational Programme (OP).

Availability of Supporting Documents

Intreo Centre or Branch Office should ensure that a checklist (Appendix 3) is complete for each BTWEA Customer under 30.

All supporting documentation for eligible expenditure submitted for ESF+ co-financing must be available after the final accounts is submitted to the Commission. The period may be extended by legal proceedings or a justified request by the Commission. This means that

the documentation above must be available indefinitely for inspection.

Evidence of checks/progress/monitoring/verification reports and audits carried out for example 3 and 9 month reviews.

- BTW2 application forms signed by Customers.
- Proof of registration with Revenue Commissioners.
- Business plan as agreed with the relevant partnership body.
- Evidence of the Customer eligibility.
- Documentation setting out the rate the Customer receives per week/month and how it was calculated.
- Evidence of any change of circumstances and revise rate.

A statement advising Customers that Back to Work Enterprise Allowance receives ESF+ funding must also feature on all items. The suggested statement is:

> Back to Work Enterprise Allowance is co-funded by the Government of Ireland and the European Union.

This scheme is co-funded by the Government of Ireland and the European Commission for participants under 30 years. As such, the Department of Social Protection

is required to collect the following data for ESF monitoring and reporting purposes.

Appendix 3

ESF+ Checklist for Intreo Centre or Branch Offices

This checklist relates to Customers participating on Back to Work Enterprise Allowance

Intreo Centres / Branch Offices should ensure that for these Customers the following is available for inspection for at least 3 years from the 31st of December after the Customer finishes on the scheme.

1. Check participant is under 30

2. Check claim is not a restart

3. Recommendation from Employment Personal Adviser AND Enterprise Officer

4. Check 3 & 9 month review completed and forms scanned to BTWEA claim on BOMi

5. Bank account details match BTW2.

Part A (to be completed at Activation Stage):

(a) BTW2 form signed by the Customer (stored physically or electronically).

(b) Evidence of registration with the Revenue Commissioners.

(c) Evidence of the Customer eligibility (See scheme guidelines).

(d) Evidence of participation on scheme.

(e) Evidence of checks/progress/monitoring/verification reports and audits carried out.

Part B (to be completed at Payment Stage):

(f) Documentation setting out the rate the Customer receives per week/month and how it was calculated.

(g) Evidence of any change of circumstances and revise rate.

Where relevant documents should have the ESF+ logos outlined below. There should also be a statement showing that the scheme receives ESF+ funding.

The suggested statement is:

The European Commission is providing co-funding to this scheme for participants under 30 years

Logos for Use on ESF+ Documentation:



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